



Employee share options

UPDATED: July 2023



We are mission driven company

Our mission is to decarbonise the grid

First and foremost we make decisions to progress our mission.

However, if we are successful there can be a financial reward too.



What are share options?

An agreement you sign which enables you to share in the financial success of the company if we sell the business or become public.



What aren't they?

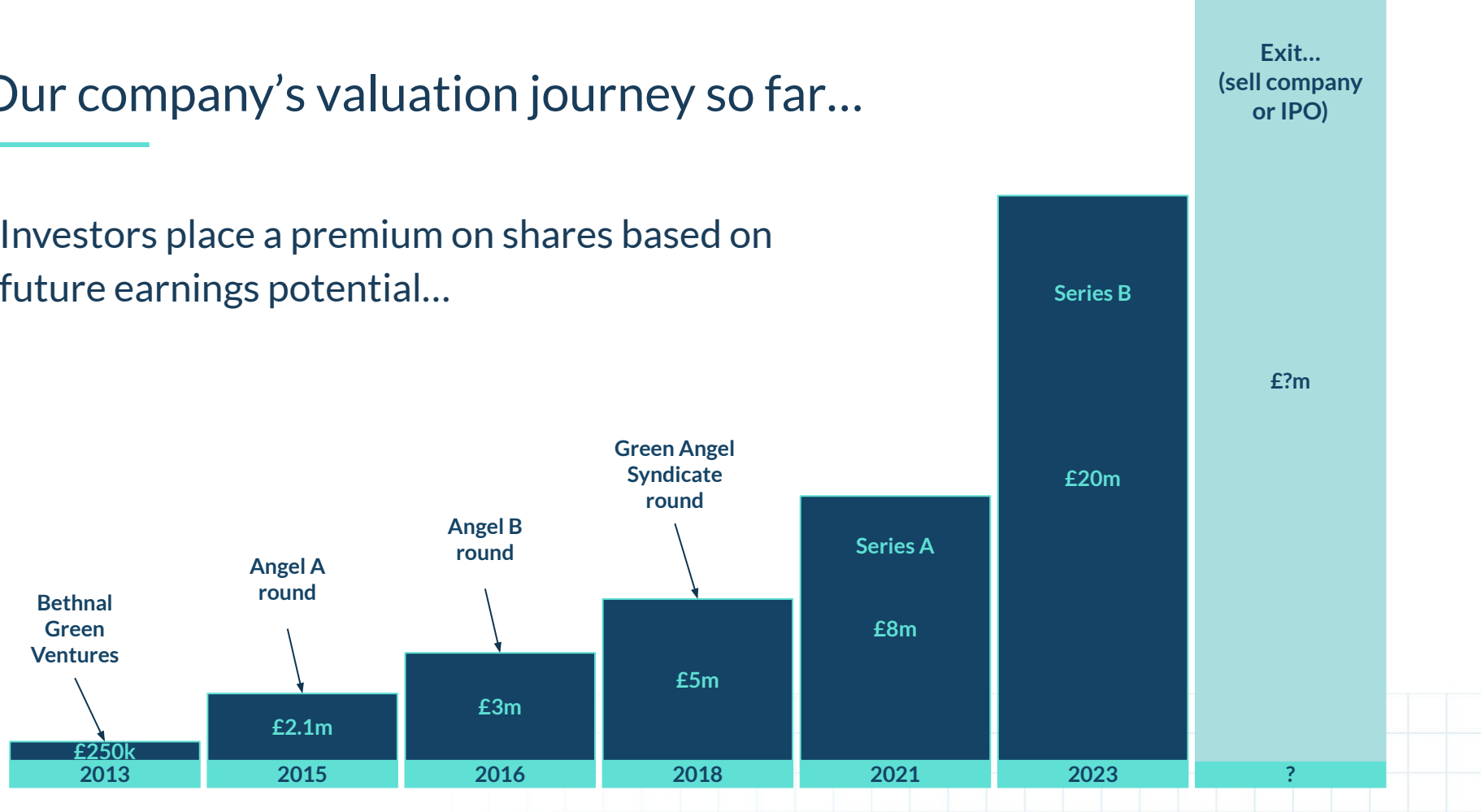
They are not a guarantee of value!!

They are not shares (yet) and there are quite a few restrictions for what you can do with them.



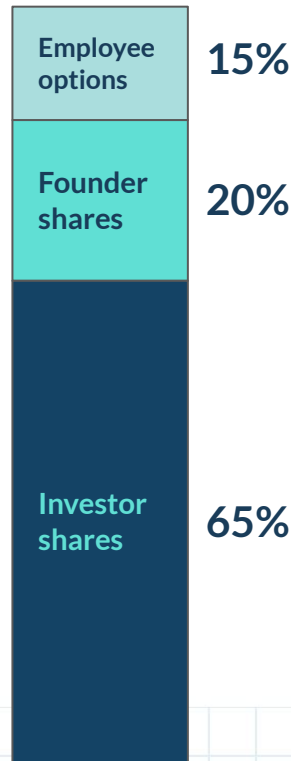
Our company's valuation journey so far...

Investors place a premium on shares based on future earnings potential...



Share option mechanics - the “options pool”

We have a pool of share options that we can allocate to staff members: representing 15% of the total shares in the company.



Allocation process

We have a methodology for allocating to staff based on three parameters:

1. The value of the company when you join
2. Your level of seniority
3. Your length of time at Piclo

Parameter 1: value of the company

We use external investment as the yardstick for valuing the company.

Employees joining earlier take more risk and this is reflected in a higher allocation.

There are three valuation periods so far:

- **Seed:** everyone who had joined before 1/1/21
- **Series A:** everyone who had joined between 1/1/21 and 28/11/22
- **Series B:** everyone who joins after 28/11/22 (note: this is the date that the Heads of Terms with Series B investors was signed)

If we raise more money at a higher valuation, another valuation period will be created.

Parameter 2: level of seniority

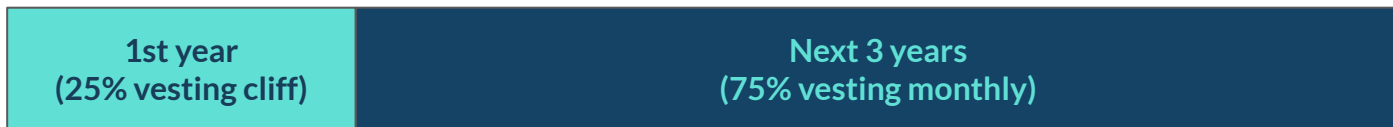
This is based on the Career Progression Framework (CPF)

- There are 8 levels on the CPF
- Everyone on the same CPF level gets the same allocation.
- Level 7 and 8 allocations are bespoke / decided by the board.

CPF Level	Employee start date		
	Seed	Series A	Series B
1	<i>Individual allocations were agreed</i>	30	22
2		45	33
3		60	44
4		90	66
5		120	88
6		150	110
7 (Directors)		<i>Individual allocations to be agreed</i>	
8 (Executives)			

Parameter 3: Length of time at Piclo

Share options vest over 4 years (from the date which you started full time employment with Piclo)



Top-up allocations for promotions

If you are promoted and move up a CPF level, you will get a corresponding top-up of share options which is the difference between your new and old level:

Example:

- You were a level 4 at the last allocation event and were granted 90 share options
- In the past year you have been promoted to level 5
- You will be granted additional share options which is the difference between level 5 and 4 (using the 2023 allocation level): $88 - 66 = 22$ options

Process for allocating options

Allocations are typically done once per annum

You sign an individual agreement which has your specific terms (amount, strike price, vesting period), which refer to the wider scheme rules

You file this away (no need to do anything else)

Non-UK staff

We have a tax efficient scheme in the UK (called EMI share options)

We are investigating the most efficient way to allocate equity to non-UK staff
(please bear with us)

So what next...

- You will be given your individual agreement to review (12th July)
- You sign the agreement (14th July)
 - *(There is a deadline to sign all agreements by 16th July as there is a limited time window where the option strike price is agreed with HMRC)*
- International staff: you don't need to do anything at the moment

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What percentage of Piclo do I own?

This will change over time. We currently have 121,403 shares. Taking the example of a level 4, 66 shares is equivalent to 0.054% of the company.

How much are my shares worth / potentially worth?

Investors paid £16k for 66 shares in 2023. Some imaginary exit scenarios:

- If there is no exit, your options are worth nothing
- With a £60m exit, your options could be worth up to £34k
- With a £200m exit, your options could be worth up to £147k

What are the company's exit plans?

If everything goes superbly, there is an opportunity to IPO within 5 years (e.g. become a public company). Otherwise we would look at a trade sale to a like-minded company. We are not just motivated by money, any future acquirer needs to further progress our mission.

How much does it cost to exercise

For everyone that joined the company before Series B, we use the strike price agreed with HMRC. For those that join after Series B, the strike price will be equivalent to the investor price.

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What does EMI stand for?

Enterprise Management Incentive, its a specific type of share option program available in the UK: it is both tax and cash efficient.

What if I leave the company?

You can only exercise your share options under certain circumstances. If you leave before your shares fully vest, exercising is subject to absolute board discretion. If you fully vest you can exercise without board approval. Exercising your shares means you will need to pay the strike price for the options and become a shareholder of Piclo and must be done within 90 days of leaving the Company. Note this policy is subject to change.